MASTER SUPPLY AGREEMENT

Contract No. CTR-2024-002 | Confidential

BUYER
SAP Industrial Holdings GmbH
Company Code 1710
Dietmar-Hopp-Allee 16, 69190 Walldorf, Germany
VAT: DE 149 565 018

SUPPLIER
Global Supply GmbH
SAP Vendor No. DESU-V042
Maximilianstrasse 42, 80539 Munich, Germany
VAT: DE 214 037 890

Contract Start	1 March 2024
Contract End	28 February 2027
Governing Law	Federal Republic of Germany
Currency	EUR
Estimated Annual Value	€ 1,875,000

1. SCOPE OF SUPPLY

Supplier shall manufacture and deliver machined industrial parts (hereinafter "Goods") as specified in individual Purchase Orders issued by Buyer under this Agreement. Each Purchase Order shall reference this Agreement by contract number.

Categories covered:

- Precision-machined steel and aluminium components (ISO tolerance grades IT6–IT8)
- Hydraulic manifold blocks and valve bodies
- Custom shaft assemblies and bearing housings

2. PRICING AND PAYMENT TERMS

2.1 Unit prices are fixed as per the price schedule in Annex A. Prices are exclusive of VAT and include packaging, standard labelling, and DDP delivery (Incoterms 2020).

2.2 Payment Terms: Net 45 days from the date of invoice receipt, provided Goods have been accepted. Invoices must reference the Purchase Order number, line item, and this contract number.

2.3 Early payment discount: Buyer may deduct 1.5 % if payment is made within 10 days of invoice receipt.

2.4 In the event of disputed invoices, Buyer shall notify Supplier within 5 business days. Undisputed amounts remain payable on the original due date.

3. DELIVERY AND LEAD TIMES

3.1 Standard Lead Time: 12 business days from written order confirmation to delivery at Buyer's designated facility.

3.2 Expedited orders (marked URGENT on the Purchase Order) shall be fulfilled within **5 business days** at a 15 % surcharge on unit prices.

3.3 Supplier shall provide a shipping confirmation and tracking reference no later than 24 hours after dispatch.

3.4 Delivery windows: Monday to Friday, 07:00–16:00 CET, excluding German public holidays. Buyer's goods receiving dock is at Walldorf Logistics Centre, Gate 7.

4. PENALTY CLAUSE AND REMEDIES

> **4.1 Late Delivery Penalty.** If Supplier fails to deliver by the confirmed delivery date, Buyer shall be entitled to deduct a contractual penalty of **2 % of the affected Purchase Order value per calendar week of delay** (or part thereof), up to a maximum of **10 % of the total Purchase Order value**. This penalty is independent of Buyer's right to claim further damages.

4.2 In the event of delay exceeding 4 weeks, Buyer may cancel the affected Purchase Order without liability and source equivalent Goods from an alternative supplier at Supplier's expense, up to the price premium actually incurred.

4.3 Supplier shall notify Buyer in writing within 48 hours of becoming aware of any risk to the agreed delivery date. Early notification reduces but does not eliminate penalty exposure.

5. QUALITY AND INSPECTION

5.1 All Goods must conform to the technical specifications in Annex B and be manufactured under a quality management system certified to **ISO 9001:2015**.

5.2 Buyer reserves the right to inspect Goods at Supplier's facility with 48 hours' notice. Cost of inspection borne by Buyer unless defects exceeding 2 % of the lot are found.

5.3 Non-conforming Goods must be replaced at Supplier's cost within 7 business days of Buyer's written rejection notice.

6. CONFIDENTIALITY

Both parties shall treat all commercial terms, technical drawings, pricing, and production methods disclosed under this Agreement as strictly confidential for the duration of the Agreement and for 3 years thereafter.

7. TERMINATION

7.1 Either party may terminate this Agreement for convenience with **90 days' written notice**.

7.2 Buyer may terminate for cause immediately if Supplier: (a) becomes insolvent; (b) fails to cure a material breach within 14 days of written notice; or (c) loses ISO 9001 certification.

8. GENERAL PROVISIONS

This Agreement constitutes the entire agreement between the parties and supersedes all prior negotiations. Amendments must be in writing and signed by authorised representatives of both parties. If any provision is held invalid, the remainder of the Agreement continues in full force.

Authorised Signatory — SAP Industrial Holdings GmbH	Authorised Signatory — Global Supply GmbH
Name: _____	Name: Klaus Brandt
Title: Head of Procurement	Title: Managing Director
Date: _____	Date: 28 February 2024